MARKETBEAT

PHOENIX

INDUSTRIAL Q4 2024

CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
12.7% Vacancy Rate	▲	▲
22.1M YTD Net Absorption, SF	▲	▲
$1.13 Asking Rent, PSF *(Overall, Net Asking Rent)*	▲	▼

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	▲	▲
3.3% Phoenix Unemployment Rate	▼	▲
4.2% United States Unemployment Rate	▲	▲

Source:BLS

ECONOMY: PHOENIX REMAINS RESILIENT

In Q4 2024, the Phoenix market recorded an employment level of 2.5 million jobs while the unemployment rate decreased significantly from 3.8% in Q4 2023 to 3.3%. This unemployment rate was well-below the national average of 4.2% and was the second-lowest rate of any major city with employment exceeding 2 million jobs. The metro area continues to record strong growth, as the number of households increased by 2.3% year-over-year (YOY) to 2.0 million. Strong wage growth continues to bring job seekers back into the labor market, as the median household income reached $93,200 in Q4 2024, up 3.9% YOY. In comparison, the Consumer Price Index in the Phoenix area has risen 1.6% YOY according the Bureau of Labor Statistics.

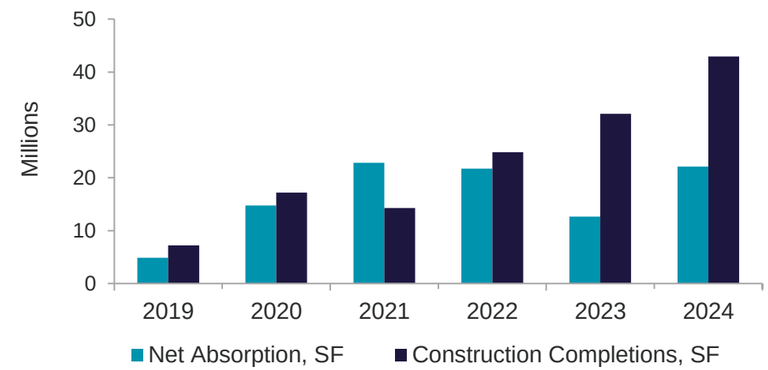
SUPPLY: VACANCY RATE BEGINS TO STABILIZE

The fourth quarter 2024 registered a 12.7% overall vacancy rate, marking the seventh consecutive quarter where vacancy levels rose. This represented a 10-basis-point (bps) surge from Q3 2024. Vacancy trends have been largely driven by continued supply growth and spikes in sublease availabilities; however, quarter-over-quarter (QOQ) increases have decelerated – indicating stabilization. Development hot-spots, such as the Southeast and Southwest markets, elevated rates as speculative projects delivered vacant. Phoenix-Mesa Gateway and North Goodyear micro-markets, for example, posted vacancy rates of 40.8% and 25.7%, respectively. Conversely, the Northeast Valley outperformed the greater market with a 3.4% vacancy rate.

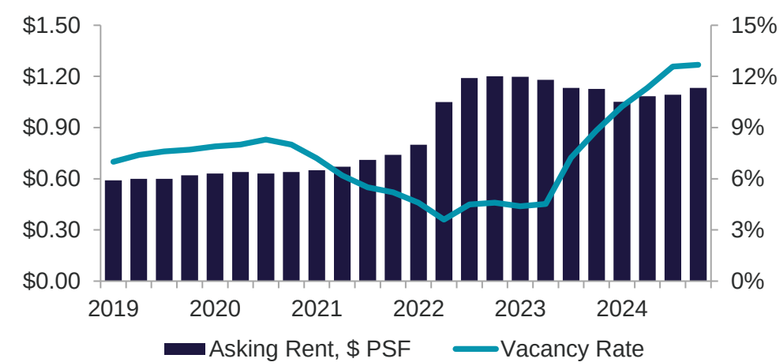
PRICING: ASKING RATES CONTINUE TO CLIMB

Both direct and overall asking rents jumped from Q3 2024, averaging to $1.17 per square foot (psf) triple net (NNN) and $1.13 psf NNN, respectively. The fourth quarter overall asking rate reflected a 3.6% QOQ climb but remained flat YOY. Rents rose from Q3 2024 across all submarkets; apart from Airport's QOQ flat rate of $1.14 psf NNN. The year concluded with prices ranging from $1.06 psf NNN (office service) to $1.45 psf NNN (high technology). Historically, warehouse/distribution properties have reported the lowest average asking rents; however, evolving demand has resulted in office service properties posting the lowest average NNN asking rate.

SPACE DEMAND / DELIVERIES



OVERALL VACANCY & ASKING RENT



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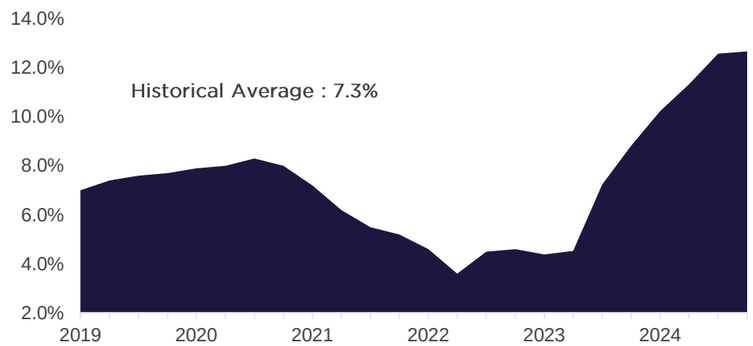
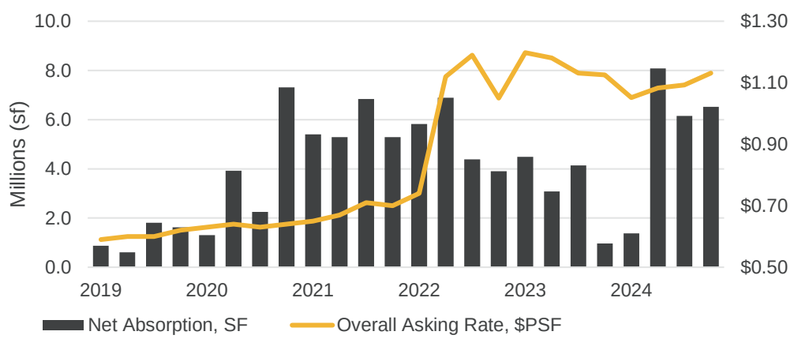
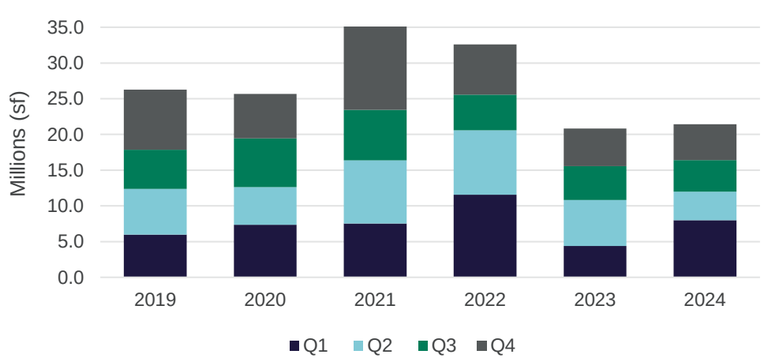
OVERALL VACANCY



ABSORPTION VS. RENT



LEASING ACTIVITY



ACTIVITY: LEASING ACTIVITY REBOUNDS FROM 5-YEAR LOW

Following a five-year leasing trough in Q3 2024, the fourth quarter pushed through the end of 2024, registering over 5.0 million (msf) in transaction volume. Leasing activity improved 13.2% QOQ but fell 7.4% YOY. This brought the 2024 year-end (YE) volume to 21.4 msf – a 2.24% improvement from the 2023 figure. Tenant demand in the warehouse/distribution sector accounted for the largest portion of leasing, representing 82.2% (4.1 msf) of the Q4 volume. The Southwest Valley yielded the greatest market demand, comprising 57.3% (2.9 msf) of quarterly leasing, due to its proximity to Southern California's sizable population and ports. As third-party logistics (3PL's) companies continue to drive Phoenix's commercial market, the trend is projected to carry on for the foreseeable future. Despite facing an unpredictable political and financial atmosphere, fourth quarter demand remained resilient across the Phoenix Metro.

ABSORPTION: YEAR-END ABSORPTION RATE NEARLY DOUBLES 2023

After a strong second and third quarter that yielded large-scale deliveries and move-ins, such as the completion of TSMC's 4.3 msf semiconductor fab in Q3 2024, Q4 tied together a robust year for absorption, contributing a positive 6.5 msf. The YE figure (22.1 msf) nearly doubled 2023's 12.6 msf and reported rates comparable to 2021 and 2022. All product reported positive net absorption, while three of the five submarkets posted occupancy gains for the year. The only markets to experience greater move-out to move-in ratios were the Northeast Valley and Airport. The quarter's largest move-in was the delivery of Ross Store's 1.6 msf build-to-suit (BTS) warehouse/distribution center in the Southwest Valley. Many BTS completions within the Southwest Valley contributed to the submarket's absorption outperformance, which netted 5.3 msf (80.4%) of Q4 absorption.

CONSTRUCTION: COMPLETIONS HIT AN ALL-TIME HIGH

The Phoenix industrial market achieved a new record high for annual deliveries with 42.9 msf of completions, outpacing the previous two years by more than 17.6 and 10.4 msf, respectively. Only 901,400 sf broke ground within the quarter which reflected a sharp 75.9% decrease QOQ. Record completions have directly correlated to heightened vacancy rates, which has raised concerns of hyper supply within the greater Phoenix market. Developer's have addressed this concern by continuing to squeeze the construction pipeline for the sixth consecutive quarter. A stabilizing vacancy rate signifies Phoenix's effective equilibrium management.

OUTLOOK

- While rising vacancy rates have sparked concerns of oversupply, developers have proactively reduced new construction, squeezing fourth quarter starts by 75.9% from 3Q 2024. Submarkets with high vacancy rates will further shrink development prospects, until new speculation space is occupied. These adjustments indicate Phoenix's control over market equilibrium, potentially minimizing negative externalities and paving the way for a more stable market in 2025.
- As political and financial clarity improves throughout 2025, market participants anticipate elevated demand activity. Imminent rate cuts will likely assist cap rate compression and lease execution turn-around time. A resilient Q4 leasing performance further supports cautious optimism for the new year.
- The advanced manufacturing and high technology sector continues to see YOY and QOQ increasing absorption levels and development. Large-scale BTS construction activity, especially in the semiconductor industry, will likely set an emerging precedence not only in Phoenix's commercial real estate realm, but in the it's overall economy.

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	OVERALL VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)	UNDER CNSTR (SF)	CNSTR COMPLETIONS (SF)	DIRECT NNN ASKING RATE*	OVERALL NNN ASKING RATE*
Airport	71,102,634	4,555,421	6.4%	-117,602	201,998	2,353,852	1,548,717	1,017,009	$1.16	$1.14
Northeast Valley	14,057,084	480,811	3.4%	-9,667	-70,747	469,819	242,740	-	$1.37	$1.39
Northwest Valley	57,837,421	4,327,850	7.5%	157,703	4,968,533	2,113,026	1,257,971	7,131,372	$1.11	$1.13
Southeast Valley	105,611,714	18,189,317	17.2%	1,243,597	4,224,099	4,389,657	7,672,601	12,719,415	$1.33	$1.28
Southwest Valley	197,247,954	28,940,102	14.7%	5,250,258	12,804,569	12,086,860	10,844,508	22,071,097	$0.99	$0.90
MARKET TOTALS	**445,856,807**	**56,493,501**	**12.7%**	**6,524,289**	**22,128,452**	**21,413,214**	**21,566,537**	**42,938,893**	**$1.17**	**$1.13**

**Rental rates reflect weighted net asking $psf/year*

KEY LEASE TRANSACTIONS Q4 2024

PROPERTY	SUBMARKET	TENANT	SF	TYPE
Tolleson Corporate Park	Southwest Valley	PepsiCo	565,908	Renewal*
Reems Ranch 303	Southwest Valley	Logistics Plus	528,360	Direct
Park 303 – Phase II – Building B	Southwest Valley	Logisticus Group	483,300	Direct
Mission Park	Southwest Valley	Highland Cabinetry	265,253	Direct
Papago Distribution Center	Southwest Valley	Hydro Extrusion USA, LLC	221,116	Renewal*

**Renewals not included in leasing statistics*

KEY SALE TRANSACTIONS Q4 2024

PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
Broadway 101 Commerce Park – Buildings 1-11	Southeast Valley	Canyon Partners / CIP Real Estate	809,230	$168.3M / $207.93
Blackstone AZ Industrial Portfolio 2024 (4 properties)	Multiple	EQT Exeter / Blackstone	859,700	$143.2M / $166.57
Paloma Vista Logistics Center – Building 1	Southwest Valley	Ares Management / BGO	1,056,353	$118.3M / $111.94
Tempe Commerce Park	Southeast Valley	BKM Capital Partners / LaSalle	536,051	$112.0M / $208.94
Park Lucero East – Buildings A, B, C	Southeast Valley	Artis REIT / EQT Exeter	562,920	$99.6M / $176.93

KEY PROJECTS UNDER CONSTRUCTION

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
Luke Field	Southwest Valley	N/A	2,429,161	Lincoln Property Company
Goodyear Airpark	Southwest Valley	N/A	1,625,586	Lincoln Property Company
LG Energy Solution	Southeast Valley	LG Energy Solution	1,500,000	LG Energy Solution

KEY CONSTRUCTION COMPLETIONS OF 2024

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
TSMC	Northwest Valley	TSMC	4,300,000	TSMC
C | 303 – Phase I – Buildings A, B, C	Southwest Valley	Parts Town (Building B)	1,755,043	First Industrial Realty Trust, Inc / Merit Partners
Prologis 303 Business Park	Southwest Valley	Amazon (Building 1)	1,627,280	Prologis

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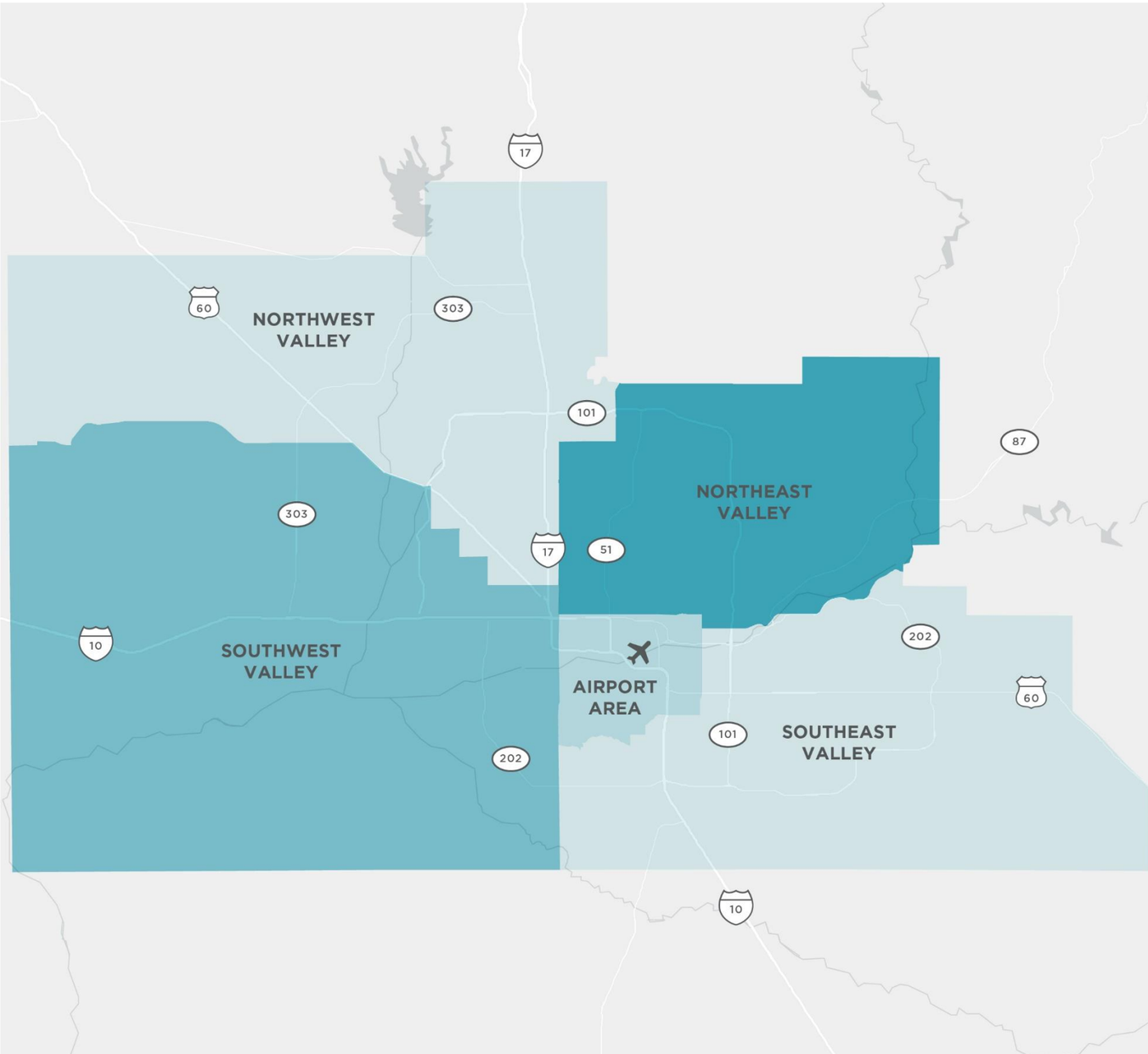
INDUSTRIAL SUBMARKETS



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